EXCLUSIVE

IAS PRELIMS 2026

CURRENT AFFAIRS

REVISION

GS-1 (DYNAMIC)

MODULE – 57

INDIAN

ECONOMY - 13

CENTRE RELAXED RULES FOR INVESTMENTS FROM LAND BORDER COUNTRIES (LBCs)

- The Centre has relaxed rules for investments from Land Border sharing Countries (LBCs). These are China, Bangladesh, Pakistan, Nepal, Myanmar, Bhutan & Afghanistan.
- Press Note 3, issued in April 2020, in the wake of the Galwan clash, was meant to prevent Chinese takeovers and acquisitions. It discouraged investment from Chinese entities - particularly those with a 10% stake or more situated either in LBCs or elsewhere.

From a policy standpoint, it is not easy for any large country to exclude China, the world's second largest economy, from its broader economic calculations.

PRESS NOTE 3 IS TWEAKED

Learning Space

- Firms with a non-controlling Chinese stake of up to 10% can invest under the automatic route with the sectoral caps applying to them. Such investment shall be subject to the reporting of relevant information by the investee entity to the Department of Promotion of Industry and Internal Trade of India (DPIIT).
- Even for those with a stake above 10%, PN3 provisions have been relaxed as opposed to being put through the rigors of government approval route. These firms may qualify for a fast-track nod provided they pertain to specific sectors, such as capital goods, electronic capital goods, electronic components, and polysilicons, ingot wafers, etc.
- The proposals may be considered fit for clearance in 60 days, if they are capital intensive and technology heavy segments. The Committee of Secretaries under the Cabinet Secretary may also revise the list of specified sectors. The majority stake, however, will remain with Indians.

Learning Space

16th FC RETAINS 41% SHARE OF VERTICAL DEVOLUTION

- The 16th FC has recommended that the Centre retain the 41% share of tax devolution to states just like 15th FC.
- The Centre has accepted the recommendations. In the Union Budget, it was provided Rs. 1.4 lakh crore to the states for the FY 2026-27 as Finance Commission grants. These include rural and urban local body and disaster management grants.
- The 16th FC also tweaked the formula that decides the division of the share. The report also said that there was no further space to cut the state's share in the divisible pool as the Centre’s cesses and surcharges - not sharable with the States - had “cut” the size of the divisible pool from 89.1% of gross tax revenues in 2014-15 to a 74-80% during the 2020-24 period for which actuals figures are available.

FC ORIGIN GOES BACK TO 1949

- Interim Finance Commission was appointed under the Chairmanship of C.D. Deshmukh to consider the distribution of resources between the Union and the States. After the interim commission, the first Finance Commission was constituted on November 22, 1951, chaired by K.C. Niyogi.
- Thereafter, there have been 15 Finance Commissions. As usual, the 16th Finance Commission was constituted by the President, under the Article-280 of the Constitution.
- The Finance Commission's transfers are made under Articles – 270, 275 and 280 of the Constitution, which provide a mechanism for sharing of taxes and revenues vertically between the Centre and the States, and horizontally among the States.
- In the year 2000, as a result of a Constitutional Amendment, all taxes collected by the Union Government were made shareable with the States. However, collection charges, cesses and surcharges are excluded.

TERMINOLOGY ASSOCIATED WITH FINANCE COMMISSIONS

VERTICAL DEVOLUTION

It recommends the distribution of the net proceeds of taxes of the Union between Union and the States.

HORIZONTAL DEVOLUTION

It allocates among the States the proceeds of the Vertical Devolution.

RESOURCES TO LOCAL BODIES

Article 280 (3) (bb) and Article 280 (3) (c) of the Constitution mandate the Commission to recommend measures to augment the Consolidated Fund of a State to supplement the resources of Panchayats and Municipalities based on the recommendations of the respective State Finance Commissions (SFCs). This also includes augmenting the resources of Panchayats and Municipalities.

DISASTER MANAGEMENT

Allocations for disaster management are also done.

FORMULAE FOR HORIZONTAL DEVOLUTION AS PER 15th FC

NEED BASED PRINCIPLE

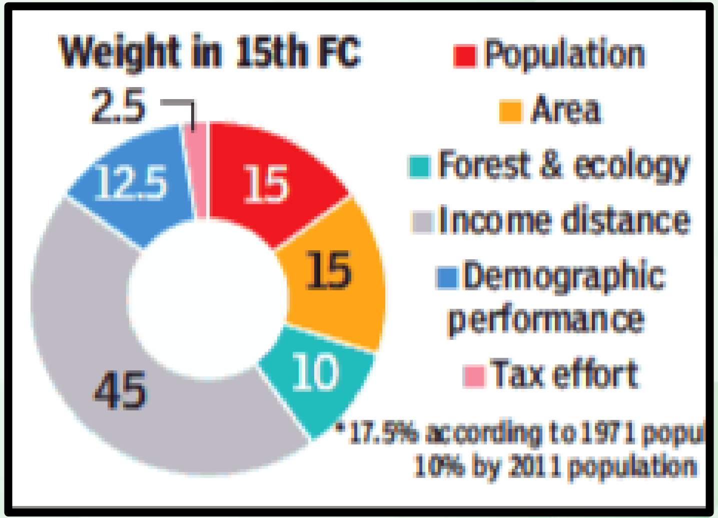
- Population – 15%
- Area – 15%
- Forest & Ecology – 10%

EQUITY BASED PRINCIPLE

- Income distance – 45%

PERFORMANCE CRITERIA

- Tax and fiscal efforts – 2.5%
- Demographic performance – 12.5%



HORIZONTAL DEVOLUTION CALCULATED AS PER 16th FC

- Income distance - 42.5%.
- State's population – 17.5%.
- Demographic performance - 10%.
- Area - 10%.
- Forest cover - 10%.
- States contribution to the national GDP - 10%

HOW IS INCOME DISTANCE CALCULATED?

It is the distance of per capita income of a state, (average of three years), from the average of the three highest per capita income states.

Due to the contribution to the national GDP element of 10% weightage, the share of States like Karnataka, Gujarat increased significantly. All the five states of south have seen increase.

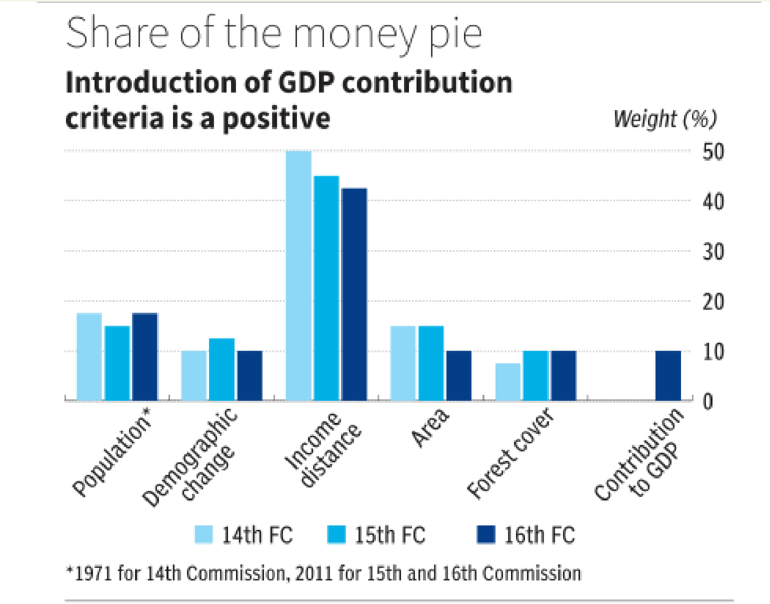
IMPORTANT POINTS ABOUT THE WEIGHTAGES FOR HORIZONTAL DEVOLUTION

1. Under the forest cover now, open forests with a canopy density of 10-40% are added to the earlier definition of medium and dense forest covers with higher canopy densities. The share of any state is now calculated by assigning 80% weightage to its share of national forest cover and 20% weightage to its share in the increase in forest cover.
2. As per the 15th FC, demographic performance was defined by the inverse of Total Fertility Rate (TFR). 16th FC redefined demographic performance as the inverse of population growth rates between 1971 and 2011. It also reduced the weightage to 10%.
3. As far as state's contribution to the national GDP is concerned, the FC defined a state's share as the ratio of square root of its GSDP to sum of square root of GSDP of all states, which would moderate the shares of the higher income states.

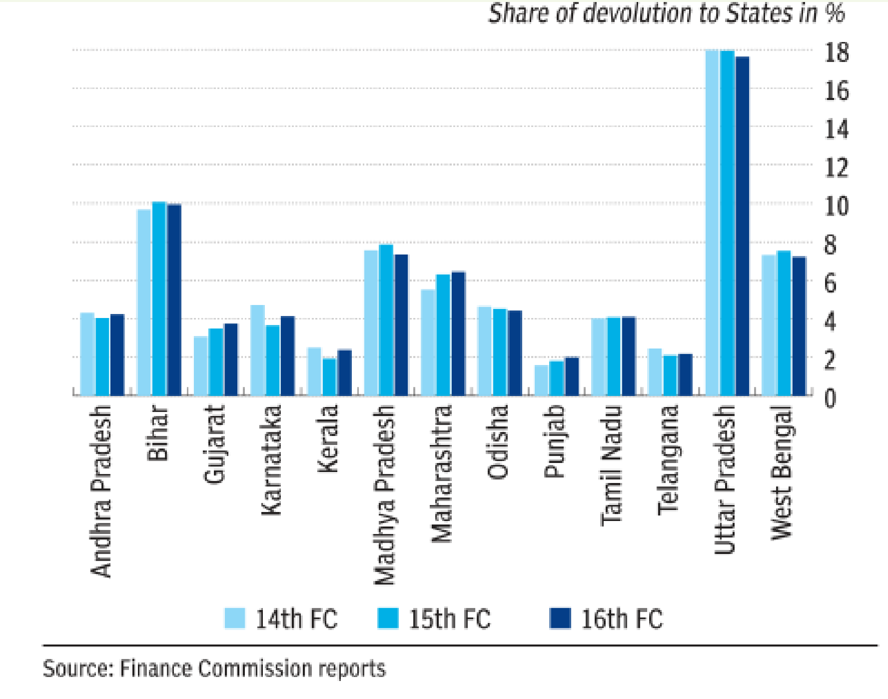
OTHER IMPORTANT ASPECTS FROM THE RECOMMENDATIONS OF THE 16th FC

1. 45% of the local government grants are allocated to ULBs, an increase from its previous share of 36%.
2. The allocation of Rs. 10,000 crore to the Urbanization Premium Grant could incentivize the process of rural-urban transition.
3. Around 65% of the grants to ULBs are basic grants, of which tied grants can be used for basic services, such as sanitation and water supply, while untied grants can be used for location-specific felt needs, excluding salary and establishment expenses.
4. The 16th FC urged that Off-Budget borrowings by state governments be stopped. Off-Budget borrowings led to a great loss of transparency about the liabilities of many of these governments. It serves to weigh down the broader bond market.
5. The Commission recommended the discontinuation of the revenue deficit grants, which will help improve fiscal discipline.

THESE ARE THE WEIGHTAGES AS PER 16th FC



UP, BIHAR, MP & WB GET HIGHEST SHARE

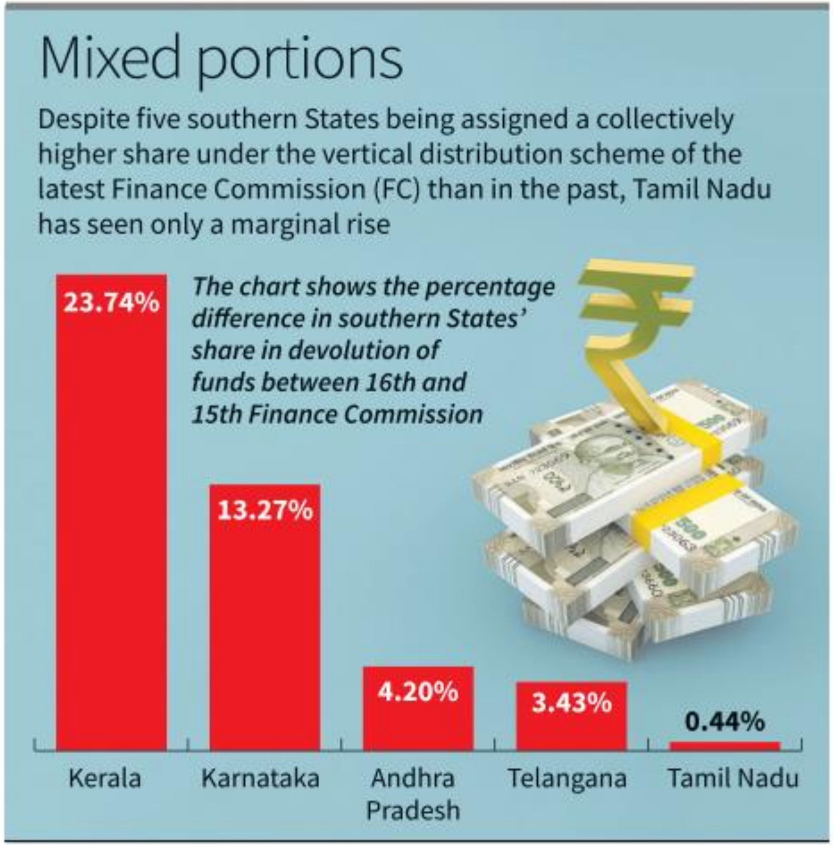


IN SOUTH INDIA, KERALA AND KARNATAKA HAVE SEEN SIGNIFICANT INCREASE IN THEIR SHARES!

Increase in share

STATE	15th FC SHARE IN %	16th FC SHARE IN %	CHANGE IN Rs cr*
Karnataka	3.647	4.131	7,387.1
Kerala	1.925	2.382	6,975
Andhra Pradesh	4.047	4.217	2,594.6
Telangana	2.102	2.174	1,098.9
Tamil Nadu	4.079	4.097	274.7

*AS PER DIVISIBLE POOL OF ₹15.26 LAKH CRORE FOR THE FISCAL YEAR 2026-27



THESE INFOGRAPHICS GIVE AN IDEA ABOUT CESSES AND SURCHARGES AND DIVISIBLE POOL

Chart 1: For every ₹100 collected by the Centre, how much ₹ is collected as taxes & duties and cesses & surcharges?

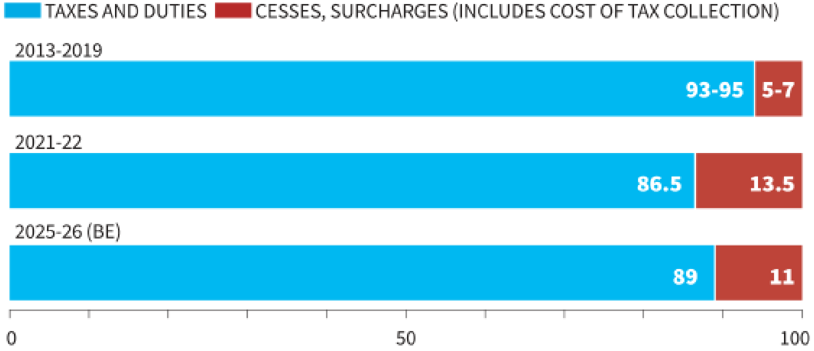
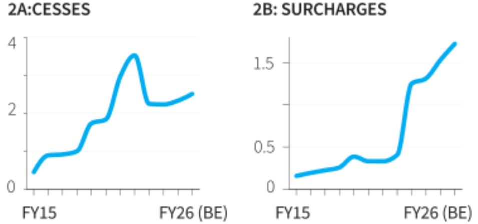


Chart 2: Cesses and surcharges collected over the years. Figures in ₹ lakh crore

Data for the first chart does not include Goods and Services tax compensation cess



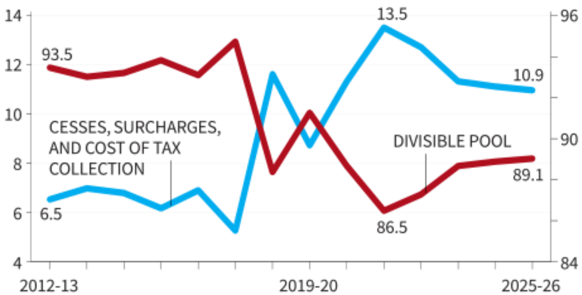


Chart 3: Consistent rise in the share of cesses and surcharges has meant that the Finance Commissions's recommendations have been rendered less effective

Figures presented are as a % of gross tax revenue. The figures for 2024-25 are revised estimates and for 2025-26 are Budget estimates

Divisible pool as % of Gross Tax Revenue (GTR) during the past 15 years.

Drop in shareable revenue

Divisible Pool as % of Gross Tax Revenue (GTR), from 2010-11 to 2025-26

Year	FC period	Divisible pool (% of GTR)	States' share in the divisible pool
2010-11	FC13	89	32%
2011-12	FC13	88.9	32%
2012-13	FC13	89.7	32%
2013-14	FC13	89.3	32%
2014-15	FC13	89.1	32%
2015-16	FC14	86.9	42%
2016-17	FC14	86.2	42%
2017-18	FC14	75.6	42%
2018-19	FC14	81.2	42%
2019-20	FC14	80.9	42%
2020-21	FC15	74	41%
2021-22	FC15	75.3	41%
2022-23	FC15	77.5	41%
2023-24	FC15	79.9	41%
2024-25 RE	FC15	81.9	41%
2025-26 BE	**FC15**	**81.3**	**41%**

Source: CAG certificates from 2010-11 to 2023-24, Union Budgets for remaining years through Figure 7.4 of 16FC Volume I - Main Report

Horizontal devolution formula of FC15 vs FC16

Criterion	FC15 weight (2021-2026)	FC16 weight (2026-2031)	Change (*pp)
Income distance (per capita GSDP)	45%	42.50%	-2.5
Population (2011 Census)	15%	17.50%	+2.5
Demographic performance	12.50%	10%	-2.5
Area	15%	10%	-5
Forest cover	10%	10%	—
Tax & fiscal effort	2.50%	Dropped	-2.5
Contribution to GDP	—	10% (New)	+10

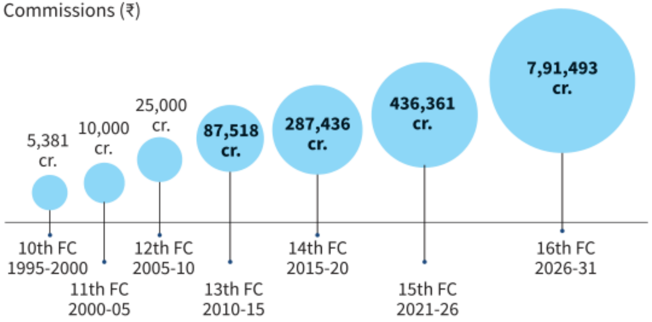
*pp- percentage points

Source: Reports of the 15th and 16th Finance Commissions through PRS

The Union accepts what gives it budgetary predictability: the 41% share, the formula, and the grants. It defers what would require sharing structural authority, fiscal rule reform, off-budget liability controls, and power sector restructuring

MASSIVE INCREASE IN THE ALLOCATIONS TO URBAN LOCAL GOVERNMENTS

CHART 1: Allocations to local governments across various Finance Commissions (₹)



Total local government allocations increased to ₹7.91 lakh crore (2026-31) from ₹4.36 lakh crore (2021-26)

CHART 3: Allocations to Urban Local Governments across Finance Commissions (₹)

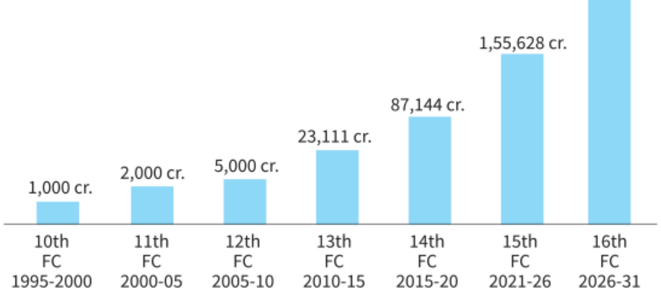
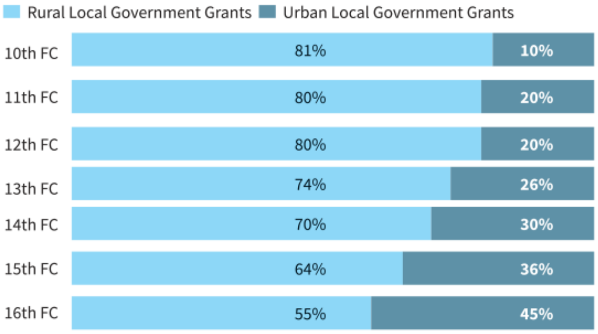


TABLE 4: State-wise allocations to Urban Local Governments across Finance Commissions. ULG allocations under 16th Finance Commission increased to ₹3.56 lakh crore from ₹1.55 lakh crore. Data for select States

State	15th FC (₹cr.)	16th FC (₹cr.)	Change
Kerala	3,242	16,683	415%
Goa	149	726	387%
Maharashtra	11,611	46,803	303%
Gujarat	6,367	23,764	273%
Tamil Nadu	7,187	25,069	249%
Telangana	3,682	11,548	214%
Haryana	2,520	7,834	211%
Karnataka	6,409	18,483	188%
Punjab	2,764	7,834	183%
Nagaland	249	667	168%
Manipur	353	609	73%
Uttar Pradesh	19,432	33,543	73%
Chhattisgarh	2,900	4,990	72%
Rajasthan	7,696	12,680	65%
Odisha	4,498	5,078	13%
Meghalaya	363	377	4%
Assam	3,197	3,249	2%
Bihar	9,999	9,169	-8%
Arunachal Pradesh	459	233	-49%
Himachal Pradesh	855	435	-49%

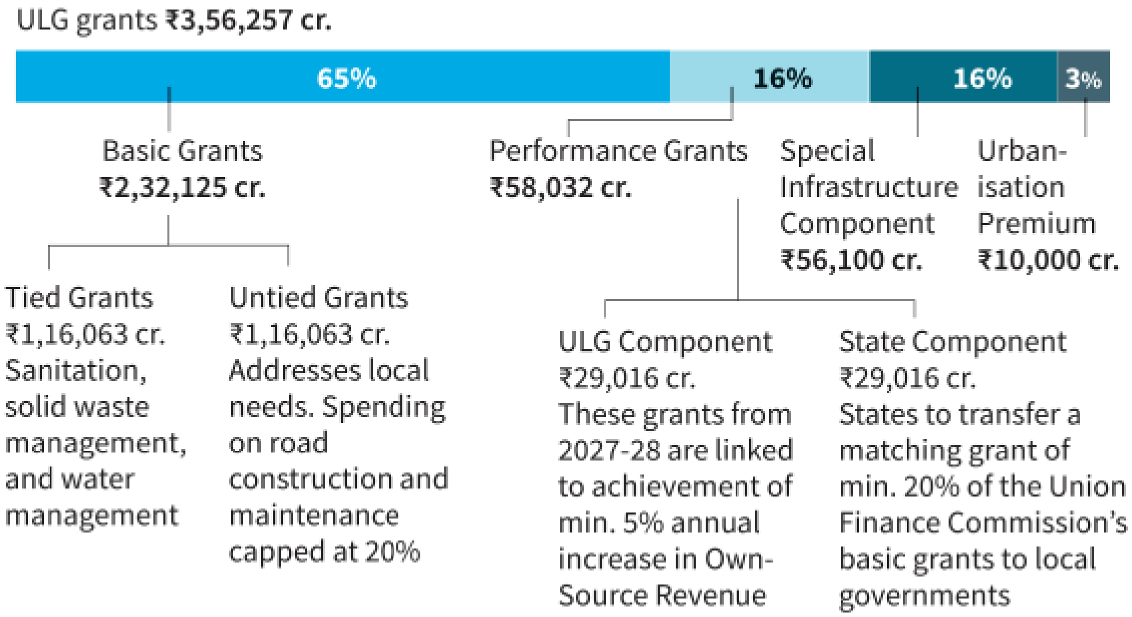
RURAL AND URBAN LOCAL GOVERNMENT SHARES

CHART 2: Allocations to Rural and Urban Local Governments in % across various Finance Commissions



COMPONENT-WISE BREAKDOWN OF URBAN GRANTS

CHART 5: Component-wise breakdown of the 16th Finance Commission's allocations to Urban Local Governments in %



SECURITIES MARKETS CODE, 2025 (SMC 2025) IS GOING TO REPLACE THREE LAWS PERTAINING TO SECURITIES MARKETS

- The newly introduced Securities Markets Code, 2025 (SMC 2025) will replace three laws in an act of consolidation and simplification.
- The code has been referred to the Parliamentary Standing Committee on Finance for scrutiny. The three acts that are going to be replaced are:
  - ✓ The Securities Contracts (Regulation) Act (SCRA), 1956.
  - ✓ The Securities and Exchange Board of India (SEBI) Act, 1992.
  - ✓ The Depositories Act, 1996.
- These deal with securities and operations of exchanges, holding and transferring securities in dematerialized or electronic form and establish SEBI as the regulator and the Securities Appellate Tribunal (SAT).

Learning Space

BRIEF ABOUT THE THREE ACTS

COMPANIES ACT, 2013 DELEGATED CERTAIN FUNCTIONS TO SEBI

- The Companies Act, 2013, regulates companies incorporated/registered in India, It has delegated the authority to enforce some of its provisions to SEBI. They include -
  - ✓ The regulation of raising capital
  - ✓ Corporate governance norms such as periodic disclosures
  - ✓ Board composition
  - ✓ Oversight management
  - ✓ Resolution of investor grievances

1 SEBI ACT, 1992

- It empowers SEBI to protect the interests of investors and to promote the development of the capital/securities market, besides regulating it. It was given the power to register intermediaries like stockbrokers, merchant bankers, portfolio managers and regulate their functioning by prescribing various conditions which include eligibility criteria.
- It also has the power to impose penalties such as monetary penalties, including suspending or cancelling the registration.

BRIEF ABOUT THE THREE ACTS

2 SCRA, 1956

The SCRA empowers SEBI to recognize and derecognize stock exchanges, prescribe rules and bye laws for their functioning, and regulate trading, clearing and settlement on stock exchanges.

3 DEPOSITORIES ACT, 1996

- This Act introduced and legitimized the concept of dematerialized securities being held in an electronic form.
- Today almost all the listed securities are held in dematerialized form. SEBI set up the infrastructure for doing this by registering depositories and depository participants.

The depository regulations empower SEBI to regulate functioning of depositories and depository participants.

IMPORTANT ASPECTS OF THE PROPOSED SECURITIES MARKETS CODE, 2025

1. The investigations should be completed within 180 days of the date of the contravention. Interim orders too will be valid for 180 days. It is incidental to note that there were inordinate delays in the investigation of prominent cases like NSE co-location, Adani-Hindenburg allegations, etc. It also lays down a limitation period of eight years for initiation of any investigation, so that old cases are not kept alive indefinitely.
2. The introduction of an Ombudsman is another important change. An Ombudsman, appointed by SEBI, will hear investor complaints relating to services provided by stock market intermediaries or companies issuing securities, and this is expected to help build investor trust. While investors must first approach the existing grievance redressal mechanisms, such as the SCORE's portal, they can knock at the doors of the Ombudsman, if the complaint remains unresolved for 180 days. This is an additional layer of protection.
3. The board of SEBI has nine members, which will go up to 15. The provision to have up to six independent, part-time members is expected to bring in an external perspective and expertise.

IMPORTANT ASPECTS OF THE PROPOSED SECURITIES MARKETS CODE, 2025

The consolidation could simplify the process of regulating markets. It defines conflict of interest more broadly than the existing act does, which is to be welcomed. However, a clearer statement of checks and balances for SEBI's powers may be required to ensure the regulator stays accountable.

4. The code has divided offenses into minor, technical and serious, which are classified under market abuse. Minor offenses are to be dealt with lightly treating them as civil penalties but for serious offenses, a person can be imprisoned for a term which can extend to 10 years, and the fine could go up to Rs. 25 crore, thereby acting as an effective deterrent.
5. The SMC proposes to expand clauses defining conflict of interest for SEBI members to include all members with direct or indirect interests, including the interests of their family members. It gives the Central Government the powers to remove a member whose interest may harm SEBI's functions.
6. It proposes to bring market abuse under the Prevention of Money Laundering Act, which could allow the Enforcement Directorate to investigate.
7. The Code allows SEBI to delegate its powers of deregistering intermediaries or specific clauses of investors to MIIs. MIIs include stock exchanges, clearing corporations, and depositories.
8. The Code moves transfer of 75% of the annual surplus of SEBI to the Consolidated Fund of India.

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